
FINANCIAL MARKETS AND INSTITUTIONS
Fall 2019: August 14 – December 4 2019

Course Code: ADM-15531-002

Instructor:

Anurag Singh

Wednesday 4:00 PM to 7:00 PM

Prerequisites:

ADM-15507 Fundamentos de Finanzas (Principles of Finance)

ECO-12102 Economía II (Economics II, Introduction to Macroeconomics)

Brief course description:

In a modern economy, financial markets and financial Institutions play an extremely relevant role in the allocation of resources. Around the world, recurrent financial crises, such as the 2008 financial crisis, demonstrate the crucial role that financial institutions and financial markets play for economic growth, firm performance and households. Such crises also stress the need to understand these institutions and markets that are commonly misunderstood and misrepresented by the media and policy makers alike.

Broadly defined the course has two objectives. First, to understand the role of financial markets and financial intermediaries; their basic characteristics, the challenges and opportunities they face in a market economy. Second, to understand the risks financial intermediaries face and the tools to manage such risks exposures.

Objectives:

At the end of this course, students will be able to demonstrate that they understand:

- The rationale for financial intermediaries, as well as their main functions in a market economy.
- Identify and evaluate the role symmetric versus asymmetric information plays in the structure and operation of the financial system information.
- Distinguish the different types of intermediaries and perform financial analysis on them.
- Understand asset, liability and capital components in the balance sheet of a financial intermediary. Understand how banks earn revenues and profits.
- Determine the relevant exposures to various types of risks.
- Understand and use market risk models to manage risk exposure (rates and exchange rate).
- Understand and use derivative instruments to manage off-Balance Sheet exposures.
- The basic character of other types of Financial Institutions and roles they play in the economy (including how they are regulated)
- Technological and other developments impacting the future of Financial Institutions.

Required Material:

Cornett, Marcia Millon, and Anthony Saunders. Financial institutions management: A risk management approach. McGraw-Hill/Irwin, 2017.

Optional Material:

Saunders, Anthony, and Marcia Millon Cornett. Financial markets and institutions. McGraw-Hill Education, 2018.

Evaluation:

- | | |
|---|-----|
| • In Class Quiz (15) | 15% |
| • Homework (3) | 15% |
| • Midterm Exam (October 9 – In class) | 30% |
| • Final Exam (Cumulative. Date will be announced later) | 40% |

Course Policies:

- It is essential to pass the final exam in order to pass the course.
- No examination will be taken outside the set date and time.
- If a student is found to have copied on an exam, control or assignment, a zero grade will be considered on this and will be proceeded in accordance with the institute's regulations.

<i>Class</i>	<i>Date</i>	<i>Topic</i>	<i>Readings †</i>
1	8/14/19	Course Overview and Introduction to Financial Intermediation <u>Key ideas:</u> Preferences and risk; risk-aversion; diversification; riskless arbitrage; market efficiency; asymmetry of information: hidden action (agency costs and moral hazard) and hidden information (adverse selection).	
2	8/21/19	Financial Institutions: Economic Role, Regulation and Relevance <u>Key ideas:</u> What is financial intermediation? Why should we care about financial intermediation? (i.e. the special role of financial intermediaries (FIs) in the financial system and the functions they provide); understand why various FIs receive special regulatory attention; understand what makes some FIs more special than others; motivate the basics with some highlights of the 2008 financial crisis	
3	8/28/19	Types and Functions of Financial Institutions <u>Key ideas:</u> Depositary and non-depositary institutions; commercial banks, savings institutions, credit unions, finance companies, central banks etc. do? What are the similarities and differences among them? Their role in the financial crisis of 2008?	Ch 2,3
4	9/4/19	Types and Functions of Financial Institutions <u>Key ideas:</u> Security firms; investment banks; mutual funds; hedge funds; balance sheets—assets and liabilities; Russian Default and LCTM Story	Ch 4,5
5	9/11/19	Types and Functions of Financial Institutions <u>Key ideas:</u> Insurance companies; life insurance and property-casualty insurance; reinsurance; underwriting	Ch 6
6	9/18/19	Types and Financial Risks <u>Key ideas:</u> Interest rate risk; credit risk; liquidity risk; foreign exchange risk; sovereign risk; market risk; off-balance-sheet-risk; operational risk; insolvency risk	Ch 7
7	9/25/19	Measurement of Different Types of Risks <u>Key ideas:</u> Measuring interest rate risk exposure-repricing model; problems with the repricing model; maturity; term structure of interest rate	Ch 8
8	10/2/19	Measurement of Different Types of Risks <u>Key ideas:</u> Measuring interest rate risk exposure-duration model; problems with the duration gap model; convexity	Ch 9

Note: Preliminary and Subject to Change

<i>Class</i>	<i>Date</i>	<i>Topic</i>	<i>Readings †</i>
9	10/9/19	Midterm-exam: In-class Exam <u>Key ideas:</u>	
10	10/16/19	Measurement of Different Types of Risks <u>Key ideas:</u> Exchange rate risk; interest rate parity; hedging interest rate risk; coverage within and off-balance sheet	Ch 13
11	10/23/19	Managing Different Types of Risks <u>Key ideas:</u> Forward contracts and futures contracts; are they substitutes or they are different; role in hedging interest rate and exchange rate risks	Ch 22
12	10/30/19	Managing Different Types of Risks <u>Key ideas:</u> Options; role in hedging interest rate and exchange rate risks; options vs forwards and futures	Ch 23
13	11/6/19	Managing Different Types of Risks <u>Key ideas:</u> Swaps; interest rate swaps; currency swaps	Ch 24
14	11/13/19	Managing Different Types of Risks <u>Key ideas:</u> Securitization; role in subprime mortgage crisis	Ch 26
15	11/20/19	Managing Different Types of Risks <u>Key ideas:</u>	
16	11/27/19	Managing Different Types of Risks <u>Key ideas:</u>	
17	12/4/19	Course Summary and Overview	